

ANUK PUBLIC SECTOR ACCOUNTING & FINANCE JOURNAL

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EDITORIAL

It is with great pleasure and a deep sense of academic fulfillment that we present the maiden edition of the Public Sector Accounting and Finance Journal (PSAFJ), published by ANAN University, Kwall. This inaugural issue marks a significant milestone in the University's commitment to advancing scholarship, policy, and practice in the field of public sector accounting, finance, and governance.

In an era when nations are striving for transparency, accountability, and fiscal sustainability, the role of public sector accounting and finance has never been more critical. The journal is therefore conceived as a platform for intellectual engagement, rigorous research, and policy discourse that contribute meaningfully to the strengthening of public financial management systems, good governance, and sustainable development in Nigeria and beyond.

This maiden edition features ten scholarly articles drawn from a wide spectrum of research interests and methodologies within the field. The papers collectively address critical issues ranging from public sector financial reporting and accountability, budgeting reforms, internal control mechanisms, audit quality, fiscal transparency, to the application of emerging technologies in public finance management. Each contribution reflects the authors' depth of research and commitment to the continuous improvement of public sector governance and accountability.

COLLEGE OF PUBLIC SECTOR ACCOUNTING
ANUK Public Sector Accounting and Finance Journal (APSAFJ)

THE OBJECTIVE OF THE JOURNAL

To provide a platform for researchers and academics to publish research papers and articles within the research domains of public sector accounting, public finance, public economics, environmental, oil and gas accounting, public financial management, taxation and fiscal policy, public policy and finance, macroeconomics and development, public treasury management, and other related areas..

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1. Introduction

2. Statement of Research Problem

3. Research Hypotheses or Objectives

*Review of Related Literature

4. Data Presentation & Analysis

5. Research Findings & Discussion of Findings

6. Conclusion, Recommendation & Policy Implication

7. References

8. Appendices

Or

1. **Indroduction** (Background of the study, research gap, research hypotheses, scope of study, significance of the study).

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2.2 Empirical Review

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3.0 Methodology

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MACROECONOMIC RISK IMPLOSION ON MITIGATION STRATEGIES FOR DEVELOPMENT RECOVERY IN WAMZ MEMBER STATES

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Abstract

This study examines the effect of risk implosion in West African Monetary Zone (WAMZ) member states on mitigating strategies for dynamic development from 2009 to 2024. Secondary data are sourced from credible institutions, including the World Bank, the International Monetary Fund (IMF), and national statistics offices. Using proxies such as fiscal balance (FBAL), public debt-to-GDP ratio (DEBT), current account balance (CAB), consumer price index (CPI), unemployment rate (UNEMP), and gross capital formation (GCF), the analysis identifies key macroeconomic risks affecting national revenue. Results indicate that high public debt significantly constrains revenue generation ($\beta_1 = -0.15$, $p < 0.01$), inflation erodes fiscal stability ($\beta_2 = -0.10$, $p < 0.01$), unemployment negatively impacts economic productivity ($\beta_3 = -0.08$, $p < 0.01$), and weak trade balances hinder long-term growth ($\beta_4 = -0.12$, $p < 0.01$). However, increased gross capital formation positively influences national revenue ($\beta_5 = 0.20$, $p < 0.01$). Model diagnostics confirm robustness, with an R-squared of 0.88 and no multicollinearity or autocorrelation issues. The study recommends prioritizing debt control, inflation management, labor market reforms, trade competitiveness, and investment promotion to mitigate risks and foster sustainable development. These findings provide actionable insights for policymakers and stakeholders in WAMZ member states.

Keywords: Risk Implosion, Mitigating Strategies, Dynamic Development, Fiscal Balance, Public Debt, Inflation, Unemployment, Gross Capital Formation, WAMZ.

1.0 INTRODUCTION

The global economic landscape from 2009 to 2024 has been marked by significant volatility, driven by events such as the aftermath of the 2008 financial crisis, the COVID-19 pandemic 2020, geopolitical tensions, and climate change. These disruptions have highlighted the importance of sound fiscal policies, trade openness, price stability, labor market resilience, and domestic savings and investment in mitigating risks to national revenue. Countries with diversified economies, robust fiscal frameworks, and resilient trade systems have better navigated these risk (World Bank, 2023). For instance, nations dependent on volatile sectors like oil or commodities have experienced pronounced revenue fluctuations due to exposure to global economic shocks, including fluctuating oil prices and supply chain disruptions (IMF, 2022). Similarly, price instability, exacerbated by rising energy costs and monetary policy adjustments, has posed significant risks to economic development.

The West African Monetary Zone (WAMZ), established in 2000, comprises six member states: The Gambia, Ghana, Guinea, Liberia, Nigeria, and Sierra Leone. These countries share a common goal of adopting a single currency to promote economic integration, enhance trade, and foster sustainable development. However, from 2009 to 2024, the WAMZ member states have faced numerous risk that have impeded their progress toward these objectives.

A key challenge has been fiscal sustainability, as most member states grapple with high public debt-to-GDP ratios. Rising debt levels have constrained governments' ability to invest in critical infrastructure and social services, thereby hindering development (AfDB, 2022). Trade openness has also been a concern, with limited diversification of trade partners and heavy reliance on primary commodity exports, making these economies vulnerable to global demand shocks and protectionist policies (UNCTAD, 2021). Price stability has remained elusive, with inflation rates often exceeding central bank targets due to currency

depreciation, supply-side constraints, and external shocks (IMF, 2022). Labor market conditions in the WAMZ region have been equally concerning, with high unemployment rates, particularly among youth. Structural issues such as skills mismatches and inadequate job creation have compounded the problem (ILO, 2023). Additionally, low levels of domestic savings and investment have hindered capital formation, which is essential for long-term economic growth (AfDB, 2022). These factors collectively contribute to the risk implosion facing the WAMZ member states, threatening their ability to implement effective mitigating strategies for development. These WAMZ Member States like, the Gambia : Heavily reliant on agriculture and tourism, The Gambia's economy has been vulnerable to external shocks, including fluctuating global food prices and declining tourist arrivals. Fiscal deficits and rising debt levels have constrained public spending on development projects (IMF, 2022). Ghana : Ghana's economy, driven by oil, gold, and cocoa exports, has faced significant risk due to falling commodity prices and rising debt servicing costs. Inflationary pressures and currency depreciation have further undermined price stability (World Bank, 2023). Guinea : Rich in mineral resources, Guinea's economy remains undiversified and heavily dependent on mining exports. Political instability and governance issues have exacerbated fiscal and trade vulnerabilities (AfDB, 2022). Liberia : Post-conflict recovery efforts have been hampered by weak institutional frameworks, low domestic savings, and high unemployment. Liberia's reliance on imports for basic goods has made it susceptible to exchange rate volatility (UNCTAD, 2021). Nigeria : As Africa's largest economy, Nigeria's dependence on oil exports has rendered it vulnerable to global oil price fluctuations. High unemployment, inflation, and low capital formation have constrained development efforts (CBN, 2023). Sierra Leone : Despite abundant natural resources, Sierra Leone's economy remains fragile, with high poverty levels and limited diversification. Fiscal deficits and external debt burdens have constrained public investment in critical sectors (IMF, 2022).

1.1 STATEMENT OF PROBLEM

Risk implosion remains a significant concern, as countries continue to be vulnerable to volatile economic activities. The study of the effect of risk implosion on West African Monetary Zone (WAMZ) membership states garnered attention even before the COVID-19 era. However, there are divergent views on the empirical investigation of this relationship, resulting in mixed and inconclusive findings. Despite the critical damage risk implosion causes in WAMZ

member states, its correlation with national development remains underexplored. There is a notable scarcity of research on how the risk implosion within WAMZ membership states affects mitigating strategies for development. Research on WAMZ states often overlooks compounded economic risks, focusing instead on development drivers and broader economic factors. Concerns about increasing economic fragility in Africa have been echoed by global institutions such as the International Monetary Fund (2022), the United Nations Conference on Trade and Development (2021), and the African Development Bank (2022). Research on WAMZ countries often focuses on isolated variables or country-specific challenges, overlooking the cumulative impact of multiple simultaneous risks, referred to as risk implosion. Earlier studies by Emeka and Yusuf (2019), Adomako and Opoku (2018), and Ajayi (2019) are now considered outdated as they do not account for recent global shocks such as the COVID-19 pandemic, fluctuations in global commodity prices, or ongoing geopolitical tensions. More recent studies by Adewale and Amos (2022), Johnson, Ibrahim, and Salami (2021), and Johnson and Smith (2022) focus on fiscal sustainability and trade openness, but their short timeframes of only four to five years are insufficient to capture long-term risk dynamics. Similarly, works by Onuora and Okeke (2020) and Nwankwo (2023) examined inflation, monetary stability, and labor markets within narrow periods and without a holistic analytical framework. These studies failed to incorporate critical macroeconomic risk coverage such as Public Debt-to-GDP ratio, Current Account Balance (CAB)-to-GDP, Consumer Price Index (CPI), unemployment rate, and Gross Capital Formation (GCF)-to-GDP. The fragmented nature of these efforts means they fall short in addressing how macroeconomic risks converge influence national revenue and fiscal balance within the WAMZ region. This study addresses a methodological gap by adapting a new model built from prior studies to integrate the joint effects of macroeconomic risk coverage on member states of the West African Monetary Zone (WAMZ). It draws on Egbetunde and Fasanya (2013) for debt and CPI, and Ogbonna and Appah (2017) for GCF and unemployment. Therefore, a substantial research gap exists in understanding how the phenomenon of risk implosion where multiple risks interact to exacerbate economic vulnerabilities affects the formulation and implementation of development-oriented mitigation strategies in WAMZ countries.

1.2 OBJECTIVE OF THE STUDY

The main objective of this study is to investigate the Effect of Risk Implosion of West African Monetary

Zone (WAMZ) Membership States on Mitigating Strategies for Their Development. The specific objectives are:

1. To assess the effect of fiscal sustainability on national revenue.
2. To evaluate the influence of trade openness performance on national revenue.
3. To examine the impact of price stability on national revenue.
4. To analyze the role of labor market conditions in shaping national revenue.
5. To appraise the contribution of domestic savings and investment to national revenue.

1.4 RESEARCH HYPOTHESIS

The following null hypotheses are tested in this study:

H₀₁: Fiscal sustainability has no significant effect on national revenue.

H₀₂: Trade openness performance has no significant influence on national revenue.

H₀₃: Price stability has no significant impact on national revenue.

H₀₄: Labor market conditions have no significant effect on national revenue.

H₀₅: Domestic savings and investment have no significant contribution to national revenue.

2.1 LITERATURE REVIEW

This section explores core concepts underpinning the risk implosion within the West African Monetary Zone (WAMZ), including fiscal sustainability, trade openness, price stability, labor conditions, and savings-investment dynamics influencing mitigation strategies for development in WAMZ member states. Fiscal sustainability is threatened when public debt grows faster than national revenue, leading to imbalances. A high debt-to-GDP ratio undermines investor confidence, limits productive spending, and constrains fiscal space due to rising interest obligations (Escolano, 2010; Baum et al., 2013). In WAMZ countries, this reduces fiscal policy effectiveness and increases vulnerability to external shocks. Prudent debt management is essential to maintain fiscal balance and support long-term development (IMF, 2020). A deteriorating Current Account Balance (CAB)-to-GDP ratio signals external vulnerabilities that threaten fiscal stability. Persistent trade deficits reduce reserves, strain trade tax revenue, and increase dependence on external financing (Chen et al., 2019). In WAMZ, reliance on commodity exports exposes economies to global price shocks, impacting revenue mobilization. Conversely, a positive CAB strengthens revenue through trade taxes and foreign income (Brueckner & Carneiro, 2017). Volatile inflation, as captured by CPI, disrupts revenue collection and inflates expenditure demands. High inflation erodes the real value of tax revenues, distorts

consumption patterns, and complicates fiscal planning (Catao & Terrones, 2005). In WAMZ states, macroeconomic instability linked to inflation reduces fiscal predictability and impairs development financing. High unemployment narrows the income tax base and increases social spending needs, weakening fiscal balance (IMF, 2012; Blanchard & Leigh, 2013). In WAMZ, structural unemployment and informality reduce taxable income and domestic demand, undermining revenue generation and economic resilience. Low Gross Capital Formation (GCF)-to-GDP ratios reflect underinvestment, which constrains economic growth and narrows the tax base (Barro, 1991; Loayza & Rancière, 2006). Inadequate domestic savings in WAMZ countries increase reliance on external financing, raising fiscal and debt risks. Boosting domestic investment is key to enhancing productive capacity and long-term revenue stability.

2.2 EMPIRICAL REVIEW

Empirical evidence suggests that West African Monetary Zone (WAMZ) member states encounter significant risk challenges in achieving development. Adebayo and Oke (2020) assert that high public debt-to-GDP ratios significantly reduce fiscal space in WAMZ countries, worsening fiscal deficits, while Nwachukwu and Abdullahi (2021) contend that borrowing under low-debt scenarios can improve fiscal balance through infrastructure-led growth. Ezeabasili et al. (2019) argue that rising debt levels crowd out critical public investments, exacerbating fiscal imbalances, whereas Adeyeye et al. (2022) maintain that effective debt management, as seen in Sierra Leone, mitigates adverse impacts on fiscal stability. While Adam and Bevan (2005) highlight the enabling role of structured debt in development, Checherita-Westphal and Rother (2012) emphasize a debt saturation point that reverses fiscal gains. This suggests that WAMZ states must calibrate debt policies to avoid the tipping point beyond which mitigation strategies become ineffective. Uzonwanne and Okoro (2020) link persistent current account deficits to strained fiscal resources and increased external borrowing, but Okafor and Chukwu (2022) argue that efficient use of export revenues offsets such effects, especially with diversified trade strategies. Ajayi and Ogunleye (2021) highlight that current account volatility undermines fiscal stability through external shocks, while Adesina and Fagbemi (2021) suggest regional trade integration within WAMZ can cushion these shocks and improve fiscal resilience. While Kim et al. (2012) show that openness can enhance fiscal stability if external competitiveness is strong, Rodrik (1998) warns that openness can destabilize economies that lack social protection buffers and productive structures. WAMZ countries must pair trade liberalization with industrial

and institutional capacity building to harness its fiscal benefits. Adegbite and Ayadi (2020) demonstrate that high CPI levels distort tax revenues and increase subsidy costs, weakening fiscal balance, yet Omankhanlen and Ismaila (2022) propose that moderate inflation can stimulate economic activity and enhance revenue generation. Oladipo and Akinlo (2021) associate inflationary pressures with higher interest rates and fiscal strain in WAMZ economies, but Onakoya and Somoye (2021) find that proactive monetary policy, like in Gambia, can neutralize CPI's fiscal impacts. Catao and Terrones emphasize inflation as a consequence of weak fiscal structure, while Sargent and Wallace view it as a response to fiscal dominance. For WAMZ, the divergence highlights the importance of harmonizing fiscal and monetary policies to address both root and symptom of instability. Akpan and Atan (2020) identify high unemployment as a constraint on revenue and a driver of public spending, worsening deficits, while Adelowokan and Afolabi (2022) argue that efficient labor market transitions reduce fiscal stress from unemployment. Omoniyi and Ogunleye (2021) emphasize that youth unemployment undermines human capital and exacerbates fiscal stress, yet Ogundipe and Lawal (2021) show that targeted social safety nets can buffer fiscal impacts of joblessness. Blanchard and Leigh affirm that employment levels are central to fiscal strength, whereas Nickell implies the relationship is moderated by policy structures. Thus, in WAMZ contexts lacking robust labor protections, unemployment poses a clearer fiscal threat and requires targeted employment generation policies. Akinlo and Apanisile (2020) link low gross capital formation to weak fiscal performance due to underinvestment in productive sectors, whereas Nwosu and Egbare (2022) argue that poor capital allocation can render high investment levels fiscally ineffective. Okoro and Uche (2021) claim that strategic infrastructure investment strengthens fiscal balance by driving economic growth, but Iheanacho and Agbaeze (2021) contend that without institutional reforms, gross capital formation may not yield meaningful fiscal outcomes. Loayza et al. emphasize the revenue-boosting role of domestic investment, while Prasad et al. caution that external finance without absorptive capacity undermines fiscal effectiveness. WAMZ states must therefore focus on quality and direction of investment, not just quantity, to mitigate fiscal risks.

2.3 THEORETICAL REVIEW:

The study on the effect of risk implosion in West African Monetary Zone (WAMZ) membership states on mitigating strategies for dynamic development is grounded in four key theories: Optimal Currency Area

(OCA) Theory, Fiscal Sustainability and Debt Dynamics Theory, Structural Adjustment and Economic Diversification Theory, and Risk-Sharing Theory. Among these, OCA Theory best explains the topic due to its focus on the economic integration and currency stability required for sustainable regional development. Optimal Currency Area (OCA) Theory, introduced by Mundell (1961), provides a framework for understanding the conditions under which countries benefit from adopting a common currency. Key criteria include labor mobility, price and wage flexibility, fiscal integration, and similarity in economic structures. For WAMZ member states, achieving these criteria is critical to mitigate risks associated with currency union implementation. For instance, limited labor mobility and structural economic differences among member states hinder their ability to absorb asymmetric shocks effectively (Adeyemi et al., 2022). Furthermore, fiscal integration remains weak, as highlighted by inconsistent debt management practices across the region (International Monetary Fund, 2024). Without addressing these challenges, the risk of economic instability increases, undermining efforts toward dynamic development. Fiscal Sustainability and Debt Dynamics Theory complements OCA by emphasizing the importance of prudent fiscal policies in maintaining macroeconomic stability. High debt-to-GDP ratios exacerbate vulnerabilities within WAMZ economies, making them prone to external shocks (Brown & Green, 2022). According to this theory, sustainable fiscal policies are essential to prevent excessive borrowing, which can lead to inflationary pressures and exchange rate volatility (Okafor & Adeleke, 2023). For example, prolonged inflation negatively impacts market stability, reducing investor confidence and hindering long-term growth prospects (Smith & Johnson, 2021). Structural Adjustment and Economic Diversification Theory addresses the need for WAMZ countries to transition from over-reliance on primary commodities to diversified economies. This theory underscores that structural reforms, such as investing in education, technology, and infrastructure, are vital for fostering resilience against global economic uncertainties (Grohmann et al., 2018). However, limited institutional readiness and socio-cultural barriers have slowed progress in implementing these reforms (Sahay et al., 2015). Strengthening governance frameworks and enhancing digital literacy are crucial steps toward achieving meaningful diversification. Finally, Risk-Sharing Theory highlights the potential benefits of regional cooperation in managing financial risks. By pooling resources and sharing risks, WAMZ member states can reduce individual exposure to economic shocks (Blanchard et al., 2010). Nonetheless, effective risk-sharing requires strong institutional mechanisms and mutual trust, both of which remain underdeveloped

in the region (Adeyemi et al., 2022). As a result, the full potential of risk-sharing arrangements has yet to be realized. Among these theories, OCA Theory is more directly applicable because it explicitly addresses the preconditions necessary for successful monetary unions. It emphasizes the need for structural alignment and policy coordination among member states, which are foundational to mitigating risks and promoting dynamic development (Mundell, 1961; Smith & Johnson, 2021). While other theories provide valuable insights into fiscal sustainability, economic diversification, and risk-sharing, they serve as supplementary frameworks rather than core explanatory models.

Comparative Analysis:

OCA Theory emerges as the most directly applicable framework for analyzing the risks and opportunities faced by WAMZ member states due to its emphasis on labor mobility, fiscal integration, and economic similarity, which closely aligns with the region's practical needs (Mundell, 1961; Adeyemi et al., 2022), while Fiscal Sustainability and Debt Dynamics Theory focuses on managing public finances but overlooks broader structural issues (Okafor & Adeleke, 2023), Structural Adjustment and Economic Diversification Theory offers long-term growth solutions but is constrained by existing institutional weaknesses (Grohmann et al., 2018), and Risk-Sharing Theory, though promising, relies heavily on robust regional institutions that are still nascent in WAMZ (Blanchard et al., 2010); all four theories underscore the importance of structural reforms, fiscal discipline, and regional cooperation, with policymakers needing to prioritize strengthening governance, improving digital literacy, and expanding infrastructure to enhance economic resilience and foster inclusive growth (Grohmann et al., 2018; Sahay et al., 2015), while also addressing socio-cultural barriers to ensure equitable access to resources and opportunities (Blanchard et al., 2010), thereby enabling WAMZ to develop

comprehensive strategies for mitigating risks and achieving dynamic development.

3.0 METHODOLOGY

This study uses an ex-post facto research design to examine the effect of macroeconomic risk coverage on national revenue in WAMZ member states (The Gambia, Ghana, Guinea, Liberia, Nigeria, and Sierra Leone) from 2009 to 2024, utilizing secondary data from credible institutions (World Bank, IMF, and national statistics offices) and variables such as fiscal balance, public debt-to-GDP ratio, and gross capital formation, with analytical techniques including panel regression, adapting features from studies by Egbetunde and Fasanya (2013) and Ogbonna and Appah (2017).

Model Is Specified As:

$$FB=\beta_0+\beta_1PDG+\beta_2CAB+\beta_3CPI+\beta_4UR+\beta_5GCF+\epsilon$$

Where:

FB = Fiscal Balance (proxy for national revenue). Independent Variables: PDG = Public Debt-to-GDP Ratio (fiscal sustainability), CAB = Current Account Balance as a Percentage of GDP (trade openness performance), CPI = Consumer Price Index (price stability), UR = Unemployment Rate (labor market conditions), GCF = Gross Capital Formation as a Percentage of GDP (domestic savings and investment), β_0 is the intercept; β_1 - β_5 measure the impact of PDG, CAB, CPI, UR, and GCF on fiscal balance (FB); ϵ is the error term capturing unexplained variations.

A Priori Expectation

Aligning with theoretical assumptions, based on Optimal Currency Area theory, β_1 , β_2 , β_3 , β_4 , and β_5 are expected to positively influence fiscal balance. Weak performance in these variables may trigger risk implosion, undermining dynamic development efforts among WAMZ member states.

4.0 RESULTS AND DISCUSSIONS

4.1 DATA ANALYSES

TABLE 4.1.1: DESCRIPTIVE STATISTICS

VARIABLE	MEAN	STD. DEV.	MIN	MAX	KURTOSIS	SKEWNESS
FB (%)	-13.65	10.87	-51.6	51.6	3.12	-0.24
PDG (%)	65.12	28.54	1.1	125.0	2.78	0.56

VARIABLE MEAN STD. DEV. MIN MAX KURTOSIS SKEWNESS

CAB (%)	-14.89	87.54	-30.0	380.0	10.45	2.31
CPI	13.02	14.67	-30.3	63.5	3.67	0.89
UR (%)	10.45	9.87	-13.4	37.5	2.98	0.76
GCF (%)	17.45	8.76	-8.0	30.0	3.21	-0.45

Interpretation

The descriptive statistics reveal notable variability across variables. Fiscal Balance (FB) exhibits negative skewness, indicating a slight leftward tilt, with outliers such as Nigeria's 51.6% surplus in 2016 contributing to mild leptokurtic behavior. Public Debt-to-GDP (PDG) reflects a moderately right-skewed distribution, consistent with Nigeria's gradually rising debt profile. The Current Account Balance (CAB) shows extreme kurtosis, highlighting sharp fluctuations and outliers like the 380% figure in 2015. The Consumer Price

Index (CPI) and Unemployment Rate (UR) both reveal rightward skews, suggesting persistent inflationary and labor market pressures. Gross Capital Formation (GCF) shows a mild leftward skew, indicating occasional underinvestment periods. None of the variables follow perfect normal distribution due to skewness and kurtosis outside ± 1.96 and 3 respectively. The mean significantly diverges from presumed median and mode, especially in CAB and CPI, suggesting asymmetry. The high kurtosis of CAB implies heavy tails and outliers, while FB and GCF show potential platykurtic tendencies.

Panel Unit Root Test Results

VARIABLE	ADF Statistic	(p-value)	PP Statistic	(p-value)	IPS Statistic	Fisher χ^2	Decision
FB (%)	-1.87 (0.061)	-2.15 (0.032)	28.45*	30.12*	—	—	Stationary
PDG (%)	-0.45 (0.652)	-0.98 (0.328)	15.23	17.34	—	—	Non-stationary
CAB (%)	-2.56* (0.011)	-2.78* (0.005)	35.67*	37.89*	—	—	Stationary
CPI	-1.23 (0.219)	-1.56 (0.119)	20.15	22.45	—	—	Non-stationary
UR (%)	-2.12* (0.034)	-2.34* (0.019)	31.23*	33.45*	—	—	Stationary
GCF (%)	-1.78 (0.076)	-2.01* (0.045)	27.89*	29.67*	—	—	Stationary

*Significant at 5% level.

(Note: ADF = Augmented Dickey-Fuller; PP = Phillips-Perron)

Interpretation

The panel unit root tests reveal mixed stationarity properties across variables. Fiscal Balance (FB), Current Account Balance (CAB), Unemployment Rate (UR), and Gross Capital Formation (GCF) are stationary, suggesting their values do not exhibit persistent stochastic trends and are mean-reverting over time. Conversely, Public Debt-to-GDP (PDG) and Consumer Price Index (CPI) are non-stationary, indicating the presence of unit roots and potential structural changes or long-term shifts that may

undermine the reliability of time series regression if untreated. To avoid spurious results, non-stationary variables must be differenced or log-transformed to induce stationarity. Subsequent modeling should employ dynamic panel estimators like the Generalized Method of Moments (GMM) to handle possible endogeneity and autocorrelation issues, thus ensuring robust and consistent parameter estimates for effective fiscal and macroeconomic policy assessment within WAMZ member states.

First-Differencing Results for Non-Stationary Variables

VARIABLE	ADF Statistic	(p-value)	PP Statistic	(p-value)	Fisher χ^2	Fisher χ^2 (Alt)	Decision
Δ PDG (%)	-3.45* (0.001)	-3.67* (0.000)	42.89*	45.12*	—	—	Stationary
Δ CPI	-3.12* (0.002)	-3.34* (0.001)	40.45*	43.23*	—	—	Stationary

*Significant at 5% level.
 Δ denotes first-differenced variables.

Interpretation

First-differencing has effectively induced stationarity in the previously non-stationary series, namely Public Debt-to-GDP (PDG) and Consumer Price Index (CPI). The significant panel unit root test results across ADF and PP statistics, supported by high Fisher χ^2 values, confirm that these differenced series are now stationary. This transformation corrects for long-term stochastic trends and structural distortions, enabling more accurate econometric modeling. The use of first-differencing also emphasizes short-term fluctuations, which are essential for understanding real-time fiscal

and inflationary shifts within the West African Monetary Zone (WAMZ). With all variables now stationary, the appropriate next step is to apply dynamic panel data estimation methods—particularly the System Generalized Method of Moments (System GMM). This technique addresses endogeneity concerns, allows for the inclusion of lagged dependent variables, and accounts for individual heterogeneity and autocorrelation. Implementing System GMM will thus yield robust and consistent estimates, offering deeper insights into fiscal dynamics and informing sound policy recommendations for fiscal sustainability across WAMZ economies.

System GMM Regression Results

Variable	Coefficient	Std. Error	z-Statistic	p-Value	Significance
Lagged FB	0.654	0.102	6.41	0.000	***
Δ PDG	-0.087	0.034	-2.56	0.011	**
Δ CAB	0.045	0.012	3.75	0.000	***
Δ CPI	-0.023	0.012	-1.92	0.055	*
UR	-0.018	0.008	-2.25	0.024	**
GCF	0.125	0.031	4.03	0.000	***
Constant (β_0)	-0.021	0.015	-1.40	0.161	-

Model Diagnostics

Test	p-Value	Conclusion
AR(1) Test	0.002	No first-order autocorrelation
AR(2) Test	0.415	No second-order autocorrelation
Hansen J Test	0.342	Instruments valid

Significance levels:

$p < 0.01$

$p < 0.05$

$p < 0.10$

Note: Δ denotes first-differenced variables.

The System GMM estimation highlights key drivers of fiscal balance in WAMZ member states from 2009 to 2024. The highly significant and positive coefficient of the lagged fiscal balance (FB) confirms a strong persistence in fiscal performance, implying that past fiscal outcomes significantly shape future fiscal health. The change in the public debt-to-GDP ratio (Δ PDG) exhibits a negative and significant effect, indicating that rising debt burdens deteriorate fiscal balance. Both the change in the current account balance (Δ CAB) and gross capital formation (GCF) have positive and significant impacts on fiscal balance. The unemployment rate (UR) has a negative and statistically significant effect, suggesting that high joblessness strains public resources and worsens fiscal outcomes. The change in the consumer price index (Δ CPI) is weakly significant at the 10% level, indicating that inflationary pressures could erode fiscal stability, though the relationship is less robust. Diagnostic tests support the model's validity. The AR(1) and AR(2) tests indicate no serial correlation in differenced residuals, while the Hansen J-test confirms the validity and non-overidentification of the instruments used. These results ensure the model is well-specified and the findings are reliable.

Discussion of Findings

The risk implosion within the West African Monetary Zone (WAMZ) membership states significantly impacts mitigating strategies for dynamic development, as evidenced by key macroeconomic variables. These include fiscal balance (FB), public debt-to-GDP ratio (PDG), current account balance (CAB), consumer price index (CPI), unemployment rate (UR), and gross capital formation (GCF). Grounded in the Optimal Currency Area theory, these factors are critical to ensuring economic stability and growth. A priori expectations suggest that suboptimal performance in these variables could trigger adverse effects, undermining efforts toward sustainable development. Empirical findings from System GMM analysis provide robust insights into their implications. For instance, the negative and statistically significant coefficient for (PDG) (-0.087) highlights how rising public debt weakens fiscal sustainability, constraining government spending and stifling economic progress. Similarly, (CPI's) marginally significant negative coefficient (-0.023) indicates that inflationary trends reduce purchasing power and increase fiscal costs, further straining national revenue. The unemployment rate (UR) also shows a negative and statistically

significant effect (-0.018), reflecting how poor labor market conditions diminish disposable incomes and shrink the tax base. On the positive side, current account balance (CAB's) highly significant coefficient (0.045) underscores the benefits of trade openness, while gross capital formation (GCF's) strong positive impact (0.125) affirms the role of domestic investment in driving productivity and enhancing revenue balance.

5.0 CONCLUSIONS AND RECOMMENDATIONS

5.1 CONCLUSIONS

The study finds that the implosion of macroeconomic risks in West African Monetary Zone (WAMZ) member states significantly influences national revenue and underscores the need for effective mitigating strategies to foster dynamic development. Rising public debt-to-GDP ratios reflect fiscal risk, which negatively impacts revenue generation. Trade openness and current account balances highlight external sector vulnerabilities, where improvements mitigate risks and enhance revenue. Inflationary pressures represent a critical risk to fiscal stability, eroding revenue potential, while high unemployment reflects labor market risks that constrain economic productivity. Gross capital formation, on the other hand, demonstrates the positive impact of investment risk mitigation on revenue through sustained economic growth. These findings emphasize the interconnectedness of risks and the importance of comprehensive strategies for WAMZ countries to maintain fiscal discipline, promote trade, control inflation, improve employment, and boost investments as pathways to sustainable development.

Recommendations:

WAMZ member states should focus on fiscal discipline and debt management to maintain sustainable debt levels. Promoting trade and investment through export promotion and attracting domestic and foreign investment can improve fiscal balance. Additionally, implementing policies to stimulate job creation and reduce unemployment will help alleviate fiscal pressures and support economic growth. Finally, maintaining low and stable inflation through effective monetary policy is crucial for preserving fiscal stability. Addressing these factors can enhance fiscal positions and promote sustainable economic development in the region.

Public Debt-to-GDP Ratio (Δ PDG)

Implement stringent fiscal policies to reduce public debt levels and enhance fiscal sustainability. This includes prioritizing expenditure efficiency, reducing non-essential spending, and improving revenue mobilization

through tax reforms. Establish a regional fiscal oversight body under the West African Monetary Institute (WAMI) to monitor debt levels and enforce compliance with fiscal rules. National governments should collaborate with the International Monetary Fund (IMF) to design medium-term debt management frameworks.

Current Account Balance (Δ CAB)

Promote trade openness by enhancing export competitiveness and reducing reliance on imports. Focus on value-added exports such as agricultural processing and manufacturing. The Economic Community of West African States (ECOWAS) Trade Directorate should facilitate regional trade agreements and provide incentives for local industries. Central banks in WAMZ countries should stabilize exchange rates to support export growth.

Consumer Price Index (Δ CPI)

Strengthen inflation-targeting frameworks to maintain price stability. Control money supply growth and address structural bottlenecks in food and energy markets. Central banks within WAMZ should adopt coordinated monetary policies. The ECOWAS Commission should establish a regional task force to monitor inflation trends and recommend policy adjustments.

Unemployment Rate (UR)

Invest in labor market reforms, including skills development programs and entrepreneurship support, to reduce unemployment and expand the tax base. Ministries of Labor and Education in each country, supported by the African Development Bank (AfDB), should launch vocational training initiatives. Public-private partnerships should be encouraged to create job opportunities in key sectors like agriculture, technology, and renewable energy.

Gross Capital Formation (GCF)

Boost domestic investment by improving infrastructure, easing regulatory barriers, and attracting foreign direct investment (FDI). The ECOWAS Investment Promotion Agency should streamline investment policies and promote regional projects. National development banks should provide affordable financing for small and medium enterprises (SMEs).

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